

INTRODUCTION

To help put the reader in the right mindset for this book, let's run a little experiment. We want to make sure you're paying attention, so turn off the TV, close your email, and grab a cup of coffee.

Below is a test. It is simple, but requires your utmost concentration. Here is a video for you to watch. So click on this link and then come back to this book after watching – it's only about 20 seconds long so we'll wait.

[Selective Attention Test Video](#)

Did you watch?

Okay, do you have your number? If you do your job correctly, you learn that the ball is passed 15 times. Did you get the number correct? Congratulations!

But, of course, that's not the whole story.

In this particular experiment, which many of you have probably seen already, while you were fastidiously counting basketball passes, what you might have missed was someone dressed in a gorilla costume walk into the frame, pound his chest, and walk off. Don't feel bad - most participants in the experiment don't notice the gorilla at all. While they kept their eye trained on what they assumed to be the most important task—the passing of the basketball—they simply failed to notice anything else.

Go back and watch again and be amazed that you would have missed this very obvious intruder. What the research actually finds is that when we narrow our focus to one specific task, we tend to overlook other, significant events.

What does this have to do with investing and this book? Conventional wisdom tells us that, as investors, we have to keep our eyes trained on our asset allocation. However, how much time do you spend thinking about the following questions:

"Is it the right time to be in stocks, or should I sell?"

"Should I add gold to my portfolio? If so, how much?"

"Aren't bonds in a bubble?"